IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.A. (CAA) No. 27/BB/2017
U/s 230 to 232 of the Companies Act, 2013

In the matter of
Honeywell Technology Solutions Lab Private Limited,
Survey No. 96 & 97,
BoganahalliVillage,
Survey No. 72/2 & 72/5 Doddakananahalli Village,
VarthurHobli, Bengaluru (East),
Bengaluru-560103. - **Applicant / Demerged Company 1**
AND
Com Dev Services India Private Limited,
Ground Floor, Chamundi Mahal,
No. 6B & 7, Bilekahalli, Opposite the IIMB,
Bannerghatta Road,
Bangalore-560076 - **Applicant/ Resulting Company 2**

Date of Order: 10th May 2018

Coram:

Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)

For the Applicant/Petitioner(s): Mr. Anind Thomas, Advocate,
M/s AZB Partners.

Per:Rajeswara Rao Vittanala, Member (Judicial)

Heard on: 23/04/2018, 27/04/2017, 10/05/2018.

O R D E R

1. The Company Application bearing C.A. (CAA) No. 27/BB/2017 is jointly filed by Companies **Honeywell Technology Solutions Lab Private Limited,** Applicant / Demerged Company-1 and **Com Dev Services India Private Limited,** Applicant/ Resulting Company-2, inter alia seeking to order(s) to dispense with requirement of holding and convening of meeting of Shareholders and secured Creditors of Demerged Company; to convene the meeting of un- secured Creditors of the Demerged ; to dispense with convening of shareholders of resulting Company etc. for purposes of considering the Scheme of Arrangement etc.

2. Brief facts, leading to filing of the present Company Application, are as follows:-

1) The Demerged Company was incorporated on 11th October 1994 by the Registrar of Companies, Bengaluru, under the name "*Honeywell India Software Operations Private Limited*". Subsequently, on 31st January 2003, it was changed to "***Honeywell Technology Solutions Lab Private Limited***". The Corporate Identification Number (CIN) of the Demerged Company is **U72200KA1994FTC016379**. The registered office of the Demerged Company is at Survey No. 96 & 97, Boganahalli Village,Survey No. 72/2 & 72/5, Doddakananahalli Village, VarthurHobli, Bengaluru (East), Bengaluru-560103. The Authorised Share Capital of the Demerged Company is Rs. 10,00,00,000/- (Rs. Ten Crore) divided into 1,00,00,000 equity shares of Rs. 10/- each. The issued, subscribed and fully paid up Capital of the Demerged Company is Rs. 4,99,99,900/- (Rs. Four Crore Ninety Nine Lakh Ninety Nine Thousand Nine Hundred) divided into 49,99,990 equity shares of Rs. 10/- each. The Demerged Company is engaged in the business of designing, researching, developing and engineering software, hardware and programs for safety, security, automation and control products, accessories and solutions for homes, etc., Copy of its certificate of incorporation and Memorandum of Association and Articles of Association is shown as **Annexure-A2 (Colly)**.

2) The Resulting Company, Com Dev Services India Private Limited, was incorporated by theRegistrar of Companies, Bengaluru with Corporate Identification Number **U72200KA2006PTC040567** on 20thSeptember, 2006 under the provisions of the Companies Act,1956. The registered office of the Resulting Company is at Ground Floor, Chamundi Mahal, No. 6B &7, Bilekahalli, Opposite the IIMB, Bannerghatta Road, Bangalore, Karnataka-560076. The Authorised Share Capital of the Resulting company is Rs. 5,00,000/- (Rs. Five Lakh) dividedinto 50,000/- equity shares of Rs. 10/- each. The issued,subscribed and fully paid up Capital of the Transferor is Rs. 1,00,000/- divided into 10,000 equity shares of Rs. 10/- each. The Resulting Company is engaged in the business of designing, developing, marketing, promoting, analysing, assembling and rendering test engineering solutions for various business needs, and analysing and modifying test engineering solutions, including designing, planning, modelling, verifying, certifying and developing software based test engineering solutions and further testing and commissioning of such solutions etc.,

Copy of its certificate of incorporation and Memorandum of Association and Articles of Association is shown as **Annexure-A11 (Colly).**

3) The Board of Directors of the Demerged Company and Resulting Company have approved the Scheme on 9th April 2018. Copy of the extract of the board resolution is shown as **Annexure-A6.**

4) The Resulting Company is a wholly owned subsidiary of the Demerged Company. In other words, the entire issued, subscribed and fully paid-up equity share capital of the Resulting Company is held by the Demerged Company along with its nominee (i.e., Kang Da Limited) and all the shareholders of the Resulting Company have given their consent to the Scheme. In terms of the Scheme of Arrangement, the Homes Undertaking of the Demerged Company is todemerge into and vest with the Resulting Company, on a going concern basis in. The benefits andrationale of the demerger are as follows:-

   i) creation of a separate and distinct entity housing the Homes Undertaking;

   ii) dedicated and specialized management focus on the specific needs of the Homes Undertaking in order to enable further growth of the Homes Undertaking;

   iii) optimal exploitation, monetization and development of the Homes Undertaking;

   iv) achieving operational efficiencies through the effective and efficient utilization of financial resources, managerial talents, technical skills, marketing resources and services delivery capabilities.

5) The scheme set out herein in its present form is 1st October 2018 and such other date as the NCLT may direct.

6) The Resulting Company proposes to issue fully paid up equity shareof Rs. 10/- each to be issued and allotted by the Resulting Company on a proportionate basis to each of the shareholders of the Demerged Company in the following ratio: 1 fully paid up equity shares of Rs. 10/- for every 10 fully paid up equity shares of Rs 10/-each of the Demerged Companyheld by the shareholders of the Demerged Company.

7) The Board of Directors of the Demerged Company and Resulting Company have approved theScheme on April 9, 2018 report on share entitlement ratio dated 9th April 2018 issued by the Chartered Accountant is shown as **Annexure-A20.**

8) No investigation proceedings have been initiated and are pending in relation to either of the Applicant Companies under Sections 235 to 251 of the Companies Act, 1956 or under Sections 210 to 227 of the Companies Act, 2013.

9) The Demerged Company do not have any secured creditors as on March 31, 2018. A certificate issued by a Chartered Accountant dated April 9, 2018certifying that the Demerged Company has no secured creditors as on March 31, 2018 is shown as **Annexure-A8**.

10) The Resulting Company does not have any secured creditors as on March 31, 2018. A certificate issued by a Chartered Accountant dated April 9, 2018 certifying that the Resulting Company has no secured creditors as on March 31, 2018 is shown as **Annexure-A17**.

11) The Demerged Company has a total of 355 unsecured creditors representing a total outstanding unsecured debt of Rs. 114,42,84,369/- as on March 31, 2018. A certificate issued by a Chartered Accountant dated April 9, 2018 certifying the list of unsecured creditors of the Demerged Company as on March 31, 2018 is shown as **Annexure-A9**.

12) The Resulting Company do not have any unsecured creditors as on March 31, 2018. A certificate issued by a Chartered Accountant dated April 9, 2018certifying that the Resulting Company has no unsecured creditors as on March 31, 2018 is shown as **Annexure-A18**.

3. Heard Shri Anind Thomas, the learned Counsel for Applicant Companies and perused all the pleadings made in support of the application along with extant provisions of Companies Act, 2013. The Learned counsel, while reiterating various averments made in the application, has further submitted that the applicants are entitled for the relief as sought for.

4. Normally, it is the right of Companies involved in the scheme to evolve their suitable schemes in accordance with their business, and public interests duly following general principles of law. At the same time, the Tribunal is under obligation to scrutinize the schemes in question before passing any order(s) on the issue before it. After analyzing the issue in detail, the Tribunal is

convinced that the scheme in question would broadly confirm to the general principles of law and also statutory requirements as required under Section 230 and 232 and other provisions of Companies Act, 2013. It is prima facie prove that the proposed Scheme of Arrangement satisfy conditions required to accede the prayer of applicants. The Scheme in question prima facie shows that it is for the benefit of all concerned parties involved it is not against Public interest.

5. I have also seen the certified copy of the Board Resolution dated 9th April 2018. I have also seen copy of the auditor's certificate duly certifying the list of shareholders and Unsecured Creditors of the Applicant Companies and Consent of the shareholders in the form of Affidavit and further noticed that:

   a) The Demerged Company do not have any secured creditors as on March 31, 2018 as certified by the Chartered Accountant dated 9thApril 2018 certifying that the Demerged Company has no secured creditors as on March 31, 2018.

   b) The Resulting Company do not have any secured creditors as on March 31, 2018 as certificate by the Chartered Accountant dated 9th April 2018 certifying that the Resulting Company has no Unsecured Creditors as on March 31, 2018.

6. The Counsel for the Applicant Companies has alsofiled Memo dated 11th April 2018 by seeking to dispense with the convening of the meetings of the shareholders and Secured Creditors of the Applicant Companies andto order for convening the meeting of Unsecured Creditors of the Demerged Company and separately for convening and holding the meeting of the Shareholders of the Applicant Companies.

7. In view of the above facts and circumstances of case, and by exercising the powers conferred on this Tribunal Under various provisions of Sections 230-232 of the Companies Act, 2013 , **C.A. (CAA) No. 27/BB/2017 is disposed of with the following directions:**

   a) It is hereby ordered that the meeting of the Unsecured Creditors of the Demerged Company be convened and held on **18th June 2018 at 9.30 AM to 11.00 AM** at **RMZ Ecoworld Sez, Survey No. 19/2,**

Devarabisanahalli Village, Varthur Hobli, Bangalore-560103. And Mr. Arjun Rao, Advocate as proposed by the Applicant Company is appointed as Chairperson and Mr. Rohit Shankar, Advocate as Scrutinizer for the Meeting of Unsecured Creditors.

b) It is hereby ordered that the meeting of the Shareholders of the Applicant Companies i.e., Demerged Company and Resulting Company) are to be convened and to be held on **18th June 2018 at 11.30 AM to 12.30 Noon and at 1.00 P.M to 2.00 P.M at RMZ Ecoworld Sez, Survey No. 19/2, Devarabisanahalli Village, VarthurHobli, Bangalore-560103,** respectively.Mr. Arjun Rao, Advocate as proposed by the Applicant Company is appointed as Chairperson and Mr. Rohit Shankar, Advocate as Scrutinizer for the Meeting of Unsecured Creditors. The quorum for the Meetings should be maintained as prescribed under the extant provisions of Companies Act, 2013 and the Articles of Association of the Applicant Companies.

c) The Notice of the Meetings of Secured and Unsecured Creditors shall be published in the English Daily "**The Hindu**" and in Kannada Daily "**Udayavani**".

d) The Applicant Companies or its authorized signatory is directed to issue notice(s) to the Equity Shareholders and Unsecured Creditors of Applicant Companies by Registered or Speed Post; or Courier; or Air Mail; or e-mail; or hand delivery to their last known address at least 30 clear days before the said meeting of the Equity Shareholders and Unsecured Creditors of Applicant Company as per Form No.CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuing convening the said Unsecured Creditors Meeting of Applicant Company at the place, day, date and time, along with a copy of Scheme of Amalgamation, a copy of Explanatory Statement, pursuant to be sent under Section 230 of the Companies Act, 2013 and form of Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

e) The Applicant Companies are directed at least 30 clear days before the Meeting of the Equity Shareholders and Unsecured Creditors of the Applicant Companies to be held as aforesaid, a notice convening the said meeting, at the place, date and time aforesaid and stating that copies of the Scheme of Arrangement and the statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and that the form of proxy can be obtained free of charge at the Registered Office of the Applicant Companies as aforesaid.

f) The Applicant Companies to serve the notice upon the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 if no response is received by the Tribunal from Regional Director within 30 days of the date of receipt of the notice it will be presumed that Regional Director and/or Central Government has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

g) The Chairman shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the conduct of the meeting(s), including for deciding procedural questions that may arise before or at any adjournment thereof or any other matter including an amendment to the scheme or resolution, if any, proposed at the meeting by any person(s).

h) The voting shall be in person or by proxy or authorized representative in case be permitted, provided that the proxy in the Form No. MGT-11 authorization duly signed by the person entitled to attend and vote at the meeting, is to be filed with the Applicant Company at its Registered office, not later than, forty eight hours before the aforesaid meeting in accordance with Rule 10 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

i) The said Chairman to file affidavit not less than seven days before the day fixed for holding of the meeting and do report to this Tribunal that the direction regarding convening and issuance of notice(s) to all the necessary parties have been duly complied with in conformity with the relevant Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

j) The Chairman shall report the conclusion of the aforesaid meeting as per the Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

(RAJESWARA RAO VITTANALA)
MEMBER, JUDICIAL